

who must spend rather than reinvest their income. Such investors assure themselves of a permanent loss of value from inflation by owning long-term fixed-income securities.

Indeed, investors are today, rightly or wrongly, assuming that inflation is the biggest economic problem they face. At the same time, they assume that cash equivalents will continue to be superior to other securities just because they have been superior up to now. How they can be so inconsistent as to *assure* themselves of doing no better than inflation, and probably worse, if inflation stays high, is beyond me.

Doesn't risk avoidance argue that a portfolio should at least have a chance of maintaining its real value? Isn't the purpose of investing to *increase* real value? If investors are not to be schizophrenic, shouldn't they look upon a bond as a hedge against *deflation* rather than merely as a variability dampener?

## FINAL OBSERVATIONS

Perhaps I am too firm in my conviction that history's major lesson is that there really is no answer and that most mistakes are the result of using historical evidence to design strategies for the future. I have not meant to put down those who are doing serious research in the field of portfolio management even if it is heavily reliant on historic data. Indeed, they have taught us a great deal. The active practitioners of Modern Portfolio Theory have constructed ways to limit their narrowly defined risk and have enabled all of us to dissect our portfolios in new ways and increase our understanding of portfolio dynamics. Inevitably, however, the ways in which MPT is being applied today are heavily influenced by the experience of the past decade, during which time risk-free assets earned higher returns than stocks.

Poor performance in the 1950's was the result of the influence of the experience of the 1930's and the post World